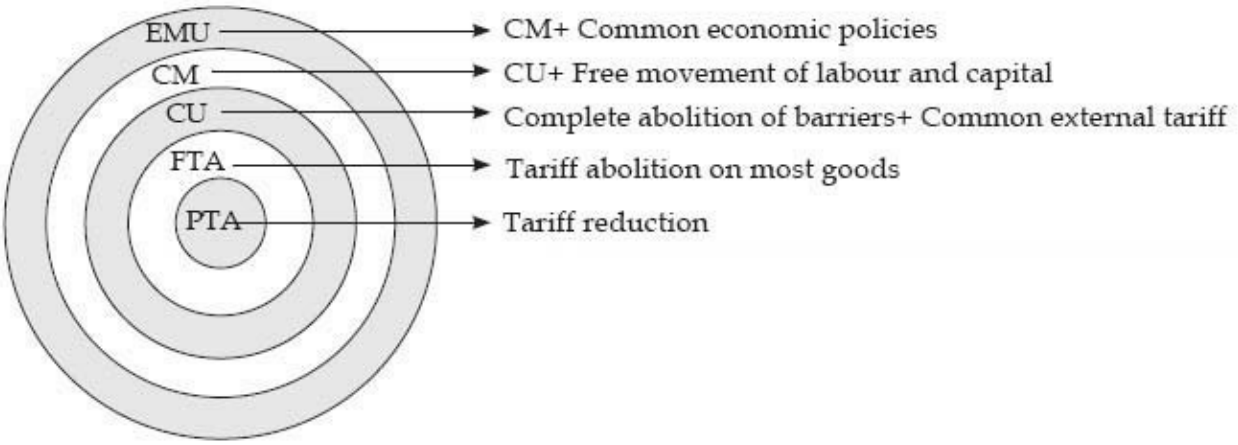


Economic and Monetary Union (EMU)

In this arrangement, in addition to common market's provision, the monetary and fiscal policies are harmonised among member countries. Common currency is an important feature of this union.

All the above economic integrations are illustrated in figure 11.2.

Related Terms

Comparative Advantage

Comparative advantage theory says that a country has to produce and export the goods in which it has comparative advantage.

Let us see comparative advantage with an example. In the example, the theory is explained with slight modification without affecting the essence of the theory.

Assume that India and Bangladesh produce rice and wheat. In India, the cost of production of one kg rice is ₹25 and cost of production of wheat is ₹60, and in Bangladesh the cost of production of rice is ₹50 and of wheat is ₹75. It is tabulated in table 11.2.

Table 11.2: Cost of production